STUDY UNIT F DOUBLE TAXATION RELIEF

INTRODUCTION

	There may be circumstances where a taxpayer shall be taxable in two different tax jurisdictions on the same income. In order to relieve taxpayers from being taxed twice on the same income, the two jurisdictions involved may enter into agreements called double taxation agreements.

OBJECTIVES OF THE STUDY UNIT

- Understand the concept of double taxation relief and to which income flows it applies to.
- Understand the administrative aspects of double taxation agreements.
- Calculate double taxation reliefs in respect of foreign income.

STUDY MATERIAL

Income Tax Act:

- Section 91 – Relief from Double Taxation
- Section 92 – Reduction of tax payable as a result of double taxation agreements
  Section 93 – Relief from double taxation in cases where no double taxation agreements have been made.

COMPETENCE FRAMEWORK EXPECTATION

You shall be required to understand administrative aspects of double taxation agreements and calculation of the double taxation reliefs.

EXAMINATION POSSIBILITIES

- Computation of Double Taxation reliefs.
- Discussion double taxation relief principles i.e. How the double taxation arises and the different relief types available.
- Tax Planning taking advantage of double taxation agreements.

ASSUMED KNOWLEDGE

None

INTEGRATION

- Strategy for Managerial accounting
- IAS 12 Income Taxes specifically tax rate reconciliations.

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1.1. Introduction

a) Agreements are styled as being for the avoidance of double taxation and the prevention of fiscal evasion. The latter function is effected partly through the application of the —arm's length principle, to which reference is made below and partly through the exchange of information between the tax authorities of the countries which are parties to an agreement. With regards to double taxation the disadvantage to the taxpayer arises from the frequent overlapping of tax jurisdictions in the case of cross-border transactions. Double taxation agreements arise where, for example, a taxpayer resident in country A conducts operations in, or derives investment income from, country B, which means tax liability may arise in both countries by reason of the taxpayer's residence and the application of the source principle.

b) Most agreements between Zimbabwe and other countries have been entered into only since 1980. The agreement with South Africa, however, which was entered into in 1965, is substantially different.

The main effect of all the agreements is either to restrict or, conversely, to preserve the power which each country might otherwise have had to impose liability on residents of the other country. The limitation takes various forms, such as

i) In the case of business or professional profits of a non-resident, a requirement that liability arises if operations in this country are conducted only in a particular way;

ii) In the case of investment income payable to a non-resident, the imposition of ceilings on the rates of various withholding taxes; and

iii) The granting of relief, subject to limits, where foreign income is being taxed in Zimbabwe, in recognition of tax payable on that income in the country of origin.

In the case of a Zimbabwean taxpayer with foreign income there are, similarly, limitations on his liability in the other country concerned.

1.2. Section 91

This section empowers the President to enter into agreements with the governments of other countries for the avoidance of double taxation and for assistance in the administration and collection of taxes levied under this Act and taxes on income levied under the laws of such other countries.

The manner in which agreements are to be ratified and published is fully set out. Any subsisting agreements as at 1st April 1967, are deemed to have been proclaimed in terms of this Act.

Note that, in terms of subsection (5), the periods of prescription do not apply to assessments arising from the implementation of double taxation agreements.

1.3. Section 92

Where an agreement with a foreign country has been made in terms of section 91, foreign tax paid on income from that country may be allowed as a credit against Zimbabwe tax paid on such income.

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The section sets out the manner in which the credit is to be calculated and the conditions under which it is to be given.

The calculation of double taxation relief is split into two parts in order to provide respectively for foreign company dividends which are taxable at the fixed rate of 20% and other foreign income such as foreign interest which is taxable as income from investments.

The relief to be allowed is, in the first instance –

(a) The Zimbabwe tax suffered on the foreign income on which relief is to be granted; or

(b) The foreign tax;

whichever is the lesser amount.

Example:

Company A received a dividend of $15 200 (net of a South African withholding tax of 5%) from a company incorporated in South Africa. Calculate the amount of tax payable in Zimbabwe in respect of the dividend.

Solution:

The foreign dividend is deemed to be from a source within Zimbabwe hence the amount of tax payable is calculated as follows:

	$
Gross dividend ($15 200 * 100/95)	16 000
Tax @ special rate of 20%	3 200
Less South African tax (the lower of the two)	(800)
Total tax payable in Zimbabwe	2 400

Where there are two or more types of incomes from a source in a foreign country the restriction under paragraph (a) of subsection (3) is calculated on the total foreign income and not on the individual amounts of the various types. It will be noted that the total amount of relief is allocated automatically over the various foreign countries from which income subject to relief is received.

Section 93 - Absence of double taxation agreement

If a person in Zimbabwe (or a person outside Zimbabwe who is deemed by virtue of the provisions of Sections 12(1)(d) and 12(4), to have received income from Zimbabwe) pays foreign tax on income from a country which has not entered into an agreement with Zimbabwe under Section 91, and also pays tax in Zimbabwe on the same income, such person will be entitled to claim relief in respect of such foreign tax as if the terms of subsections (3) and (4) of Section 92 were applicable.

If the true source of any income is Zimbabwean then, of course, no relief can be given in terms of this section even though tax may have been paid in another country.

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In ITC 1535 (1992) 54 SATC 356 the court held that Zimbabwe was obliged to grant relief on royalties which was designated in the Act as being deemed to be from a source in Zimbabwe, despite the possibility of it being from a true source in Zimbabwe.

1.4. Corporate - Withholding tax

Withholding tax (WHT)s are applicable where dividends and royalties or similar payments are declared or distributed to non-Zimbabwean residents (and Zimbabwean residents in some instances). WHT to be withheld for a non-resident who resides in a country in which Zimbabwe has a double tax arrangement will be based on a treaty relief for Zimbabwean tax. The double tax agreements restrict some withholding taxes to the amounts specified. The DTAs offer reduced rates of withholding taxes on dividends, interest, royalties and technical fees. As an example, almost all the DTA's signed limit the rate of tax on Technical Fees to 15% or less.

1.4.1 Dividends

Dividends declared by a Zimbabwean company to a non-resident holding company will be subject to non-resident shareholders tax (NRST), a WHT. NRST is payable at a rate of 15% unless treaty relief is available. Dividends from companies listed on the Zimbabwe Stock Exchange have a rate of 10%. NRST is payable within thirty days after the declaration of the dividend.

1.4.2 Interest

WHT of 15%, calculated on the gross amount of interest, is payable on interest accruing to any person resident in Zimbabwe. This applies to interest arising from a registered banking institution or unit trust scheme. The tax withheld is a final tax, and the financial institution is responsible to withhold the tax.

Non-resident investors, however, are currently exempt from any WHT on interest.

1.4.3 Royalties or similar payments

WHT on royalties is payable once a Zimbabwean company pays a royalty to a non-Zimbabwean resident. WHT is levied at a rate of 15% and is payable within ten days of the date of payment. The WHT falls due upon accrual (i.e. when payable), and actual payment is not a factor.

A royalty includes payment for the use or right to use any patent or design, trademark, copyright, model, pattern, plan, formula or process, or any other property or right of a similar nature. It also includes the imparting of any scientific, technical, industrial, or commercial knowledge or information for use in Zimbabwe. The nature of the amount payable should therefore be carefully considered in order to determine whether the relevant amount represents a royalty.

1.4.4 Fees

Fees are defined to include amounts that are technical, managerial, administrative, or consultative in nature; costs are paid externally. There are some exceptions, but the definition is broad and brings in most costs that may be charged to a Zimbabwean person.

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WHT is levied at a rate of 15% and is payable within ten days of the date of payment.

Summary of WHT payable

The non-resident WHT rates and treaty relief for Zimbabwean DTAs can be summarized as follows. It should be noted that the tax treaties contain certain requirements that should be met before the reduced tax rate may be applied.

The definitions of dividends, interest, and royalties in the various treaties should also be considered.

Recipient	WHT (%)			
	Dividends	Interest	Royalties	Fees
Non-resident	15 (1)	0	15	15
Treaty:				
Bulgaria	10	N/A	10	10
Canada	10	N/A	10	10
China	2.5/7.5 (2)	N/A	7.5	15
France	10	N/A	10	10
Germany	10	N/A	7.5	7.5
Malaysia	10	N/A	10	10
Mauritius	10	N/A	15	15
Netherlands	10	N/A	10	10
Norway	15	N/A	10	10
Poland	10	N/A	10	15
South Africa	5/10 (3)	N/A	10	5
Sweden	15	N/A	10	10

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Recipient	WHT (%)			
	Dividends	Interest	Royalties	Fees
United Kingdom	5	N/A	10	10

Notes

1. Applies to unlisted companies. The rate for companies listed on the Zimbabwe Stock Exchange is reduced to 10%.
2. 2.5% where more than 25% of shares are held; 7.5% in all other cases.
3. 5% where 25% of shares are held; 10% in all other cases.

'N/A' means that the provisions of the tax treaty limit the rate to a rate that is higher than the local Zimbabwean rate. It should be noted that a treaty can only provide tax relief and cannot impose a higher tax rate.

WHT is payable within ten days of the date of distribution or accrual.

Foreign tax relief

As a result of the source rules, few items subject to foreign tax are liable to Zimbabwean taxation. There is, however, a general unilateral provision for relief from double taxation.

Relief in the form of a tax credit from Zimbabwean tax is allowed for taxes paid on foreign income. The aggregate credit allowed may not exceed an amount that bears to the total tax payable in Zimbabwe the same ratio as the foreign income taxable in Zimbabwe bears to the total taxable income.

The following is an example showing an extract of the double tax agreement between South Africa and Zimbabwe pertaining to dividends.

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ARTICLE 10

DIVIDENDS

1. Dividends paid by a company which is a resident of a Contracting State to a resident of the other Contracting State may be taxed in that other State.

2. However, such dividends may also be taxed in the Contracting State of which the company paying the dividends is a resident and according to the laws of that State, but if the beneficial owner of the dividends is a resident of the other Contracting State, the tax so charged shall not exceed:

   (a) 5 per cent of the gross amount of the dividends if the beneficial owner is a company which holds directly at least 25 per cent of the capital of the company paying the dividends;

   (b) 10 per cent of the gross amount of the dividends in all other cases.

   The competent authorities of the Contracting States shall by mutual agreement settle the mode of application of these limitations.

   The provisions of this paragraph shall not affect the taxation of the company in respect of the profits out of which the dividends are paid.

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PRACTICE QUESTION

Summary:

a) If the Zimbabwean tax is less than or equal to the foreign tax withheld the DTR = the Zimbabwean tax
b) If the Zimbabwean tax is more than the foreign tax withheld the DTR = the foreign tax withheld such that the additional Zimbabwean tax chargeable will be equal to the Zimbabwean tax less foreign tax paid.

	Example A	*Example B*
Fees	1,000,000	1,000,000
Allowable expenditure	950,000	550,000
Taxable income	50,000	450,000
Income tax (24.72%) thereon	12,360	111,240
Non-residents' tax already withheld on fees: 10% on 1,000,000	100,000	100,000
Excess non-refundable in *Example A*	87,640	
Excess chargeable in *Example B*		11,240
Actual liability therefore	0.000	11,240

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